MAPLE LEAF FOODS, CORPORATE POLICY

HUMAN RESOURCES

CODE OF BUSINESS PRACTICE

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CODE OF BUSINESS PRACTICE

1. COMMITMENT TO ETHICAL CONDUCT

The management of Maple Leaf Foods ("Maple Leaf") is committed to ensuring that Maple Leaf and its employees demonstrate the highest standards of ethics and integrity in all business activities.

Our business philosophy is based on the fundamental values of RESPECT and INTEGRITY in all of our business relationships and activities both within and outside the Company. We have the RESPONSIBILITY to fulfill our commitments with the highest of ethical standards.

These standards will apply both to how Maple Leaf conducts its internal affairs and to how each Maple Leaf business conducts its dealings with customers, suppliers, competitors, and the communities in which we operate.

Guidelines are developed and reviewed by an Ethics Committee, which is chaired by the Chief Executive Officer. The Chief Human Resources Officer acts as Secretary of the Committee.

2. ADHERENCE TO APPLICABLE LAWS AND REGULATIONS

Maple Leaf and its employees are expected to comply at all times with all applicable laws and regulations. Maple Leaf will not condone the activities of any employee who violates the law or engages in unethical business practices, even if those activities yield results. No activity may be carried on that will not stand the closest possible public scrutiny. Accordingly, employees must ensure that their conduct cannot be interpreted as being in any way in contravention of the laws and regulations governing Maple Leaf's operations. If you are in doubt about the application or interpretation of any legal requirement, you should refer the matter to your supervisor.

3. CONFLICT OF INTEREST

3.1 Avoiding Conflict of Interest

Each employee is expected to give his or her first business loyalty to Maple Leaf. Where we are entrusted with making decisions and choices for Maple Leaf it is essential that these decisions are (and are seen to be) free of any inappropriate bias arising from personal relationships or the opportunity for personal gain.

3.2 Avoiding the Appearance of Conflict of Interest

We always act in such a manner that your conduct will bear the closest scrutiny. Not only actual conflict of interest, but even the appearance of conflicts is avoided. Perception of conflict of interest can be just as damaging as an actual conflict of interest.

3.3 Disclosure

Everyone is expected and obligated to disclose to their supervisor any circumstances that create, or might appear to create, a conflict of interest. This disclosure should be done in

writing (e-mail is acceptable) and copied to local Human Resources. The purpose of doing this in writing is to facilitate the tracking and cataloguing of cases so that they might be used for future reference and guidance and to ensure that there is no doubt that the disclosure was made. Human Resources will maintain the tracking mechanism.

Depending upon the nature of the conflict and the particular circumstances, a procedure for dealing with the conflict will be prescribed by the appropriate Maple Leaf authority and accepted in writing by the employee involved.

Prompt and full disclosure is the best way to avoid compromising situations and to reduce our risk of becoming entangled in any appearance of compromise.

The rest of this section deals with a number of circumstances where conflicts of interest may arise and where disclosure in writing should be made.

3.4 Outside Activities

Outside employment, whether for another company or for yourself, can create a perceived conflict of interest. It is strongly discouraged at every level and will be prohibited under the following circumstances:

1. If it interferes in any way with the performance of your duties.
2. If it is connected in any way with a company that has any business relations with Maple Leaf Foods.
3. If it is a business competitor.
4. If it calls upon the primary professional skills for which you are employed at Maple Leaf Foods and could result in a potential or perceived conflict of interest.

Directorships are dealt with on a case-by-case basis. In certain circumstances, they can benefit both the employee and Maple Leaf. In others, they can be viewed as a conflict of interest or a hindrance to one's primary duties.

If you are at all unsure as to whether your outside employment or directorship violates the above rules, you should check with your supervisor and ensure that the conclusion is documented.

Maple Leaf encourages employees to engage in volunteer community activities. However, these should be disclosed to your supervisor, if they might appear to compete for your time and attention to your responsibilities.

3.5 Bribes and Kickbacks

As Maple Leaf employees, or as an agent or representative, we do not offer, give, solicit, or receive any form of bribe, kickback, or improper inducement in order to secure business or regulatory approval. This principle applies to Maple Leaf transactions everywhere in the world, even where the practice is widely considered "a way of doing business."

3.6 Purchasing Decisions

The selection of suppliers and tendering of goods or services to Maple Leaf shall be based on quality, price, service and benefit to Maple Leaf.

We never exert, or attempt to exert, influence to obtain special treatment on behalf of a particular supplier. Even to appear to do so can undermine the integrity of our established procedures. It is essential that suppliers competing for Maple Leaf's business have confidence in the integrity of our selection process.

Personal relationships may sometimes develop with suppliers and customers. Asking these suppliers or customers to provide products or services for you or others can create a real or perceived conflict of interest. We refrain from all such activities. If you learn of such activities you should report them, in confidence, to your manager.

3.7 Investments/Securities Trading

Investing: Employees do not invest in any organization that competes with or has a business relationship with Maple Leaf in any way that such investment could create a conflict of interest. This policy does not prohibit personal investments in widely traded public companies, unless the size of the investment could create the perception of a conflict of interest. Generally any investment which represents less than 1% ownership a company will not create a conflict.

People who trade in financial instruments, currency, or commodity instruments on behalf of Maple Leaf are prohibited from trading in the same instruments on any other account.

Insider trading is making use of non-public material information about Maple Leaf, its customers or suppliers, to achieve an unfair advantage in the buying or selling of shares or other securities. It is illegal, and you must avoid it. Tipping, providing inside information to another party for the purpose of achieving an unfair market advantage, is also illegal.

3.8 Family and Friends

While conflict of interest guidelines are not intended to interfere unduly with your family or personal life, there are situations where the actions of family members and close friends may constitute a conflict of interest for you.

Examples:

- If your spouse, a relative, or a close personal friend is an employee of, or has a substantial interest in, a business seeking to provide goods and services to Maple Leaf, you can not be involved in making any decisions regarding that business. You must also ensure that your position in Maple Leaf does not (and in no way appears to) influence the bidding, product qualification, or negotiation processes in any way.

- If you are directly involved in purchasing, or research and development functions, where a family member's employment position (with a competitor, supplier, or customer of Maple Leaf) may place you in a conflict of interest, disclose the situation to your manager immediately.

It is Maple Leaf's policy that employees should not directly supervise family members. Situations that have existed before the adoption of the current Code of Business Practice may be permitted to continue but must be disclosed to your Human Resources staff. This policy, along with any necessary consideration of exceptional circumstances, is administered by Human Resources.

Employees are also cautioned against having family members in positions where there could be a perception of undue influence. For example, a general manager of a business unit should not have a family member reporting two levels down in his/her organization as it might be perceived that the manager could offer preferential treatment.

4 HANDLING COMPANY ASSETS

We are all entrusted with the care and use of company assets with the expectation that they will be used for the benefit of, and as directed by, Maple Leaf. Using company assets (whether physical, financial, or time) for your personal gain is a violation of this trust. You may not, therefore, obtain, use, or divert Maple Leaf property for your personal gain or benefit, or for the personal gain or benefit of anyone else.

4.1 Care of Assets

You are responsible for the proper use and security of company property entrusted to you. You should ensure that all Maple Leaf property assigned to you is maintained in good condition. You should be able to account for such equipment at all times in accordance with established procedures.

Paper records should be properly filed and stored in order to protect them from loss or damage, to reduce the possibility of inadvertent disclosure of confidential information, and to ensure ready access by others who may need to refer to them.

Computers and disks used to record business related information should be afforded an even higher level of security than paper records. Since the information stored in this way is not visible it is easy to forget that it is vulnerable. All maintenance and backup procedures must be carefully followed.

4.2 Personal Use of Company Assets

Any use of Maple Leaf property or services that are not solely for the benefit of Maple Leaf must be approved in advance by your supervisor.

Common sense dictates that some items, such as the occasional local phone call on personal affairs, are acceptable, for example, while having your club newsletters processed by the Maple Leaf mailroom clearly is not. Use good judgment and, if in doubt, err on the side of disclosure and getting approval.

Company computing systems and equipment, plus all information contained within these assets, are provided to employees as necessary tools for job performance. We are all expected to use these tools in full accordance with relevant Maple Leaf policy.

Company cars may be made available to certain employees with an expectation of a reasonable amount of personal use, subject to applicable Maple Leaf policy.

Company time is a valuable asset. We all have an obligation to be honest with time, to perform your job to the best of your abilities, and to report to work in a manner fit to perform all assigned duties.

If you have any doubt as to the appropriate use of any company property, assets, or services, ask your supervisor.

4.3 Theft

Theft of Company assets is the most fundamental breach of the employment relationship. Maple Leaf will not tolerate theft under any circumstances and will terminate/prosecute in such situations.

5. GIFTS AND ENTERTAINMENT – WE PAY OUR OWN WAY

Receiving gifts or entertainment from suppliers, potential suppliers or customers is against Maple Leaf policy. Entertainment could include drinks, dinners, event tickets, parties, trips and the like. Notwithstanding, it is recognized that some business entertainment or social activity with business associates may be appropriate and beneficial to Maple Leaf when undertaken with discretion. The following guidelines are not intended to prevent the development of close relationships with suppliers or customers, rather they are intended to indicate how these can be developed while still ensuring that Maple Leaf's interests are protected and that the integrity of Maple Leaf and its employees is maintained. We believe that a "we pay our own way" philosophy sends a powerful message with respect to our ethical standards, which can only enhance our business reputation.

1. If there is a good business case for entertaining or socializing with business contacts in your role as a Maple Leaf employee, you must pay for all costs of such entertainment and apply for reimbursement through the established expense claim process.
2. If you participate in business related entertainment that advances Maple Leaf interests but where it is inappropriate or impossible for Maple Leaf to pay (e.g. social courtesy and grace would make attempted payment offensive to the host) then you should accept the entertainment graciously on behalf of Maple Leaf, and disclose it to your supervisor in writing, preferably in advance.
3. If you are offered business entertainment in your role as a Maple Leaf employee that does not advance Maple Leaf's business goals, decline it graciously.

6. INTEGRITY OF BOOKS AND RECORDS

Maple Leaf has clearly established procedures for the maintenance of books, transactions, and records. Following these procedures, with full disclosure of all facts—good and bad—ensures the integrity of Maple Leaf's accounting and business records. All records-keeping documents are to be properly maintained to facilitate the preparation of accurate financial statements, asset management records, and production of accurate Management Control Reports.

Everyone who makes business decisions is accountable for those decisions and is required to report the results promptly. The integrity of all records thus determines the quality of business decisions made by Maple Leaf and the health of the business.

Any deviation from accounting or record-keeping procedures, whatever the motivation, is damaging to the interests of Maple Leaf and will be regarded as grounds for dismissal.

The following are examples of circumstances or transactions that are clearly prohibited:

- Maintenance of any account, fund or other asset that is not reflected in the books or records of Maple Leaf
- Documentation that intentionally misrepresents a transaction (e.g. dummy or false receipts or invoices, false declarations, misleading reports)
- Delaying the recording of a transaction or advancing the recording of a transaction to match budget timing
- Grouping, splitting or misrepresenting transactions to obscure their true nature

7. CONFIDENTIALITY AND SECURITY OF INFORMATION

The handling of information is an area where Maple Leaf particularly relies on the integrity, discretion, and common sense of every employee: information is a key corporate asset. Employees who have access to confidential information—proprietary, technical, business, financial, joint-venture, customer and employee information that is not available publicly—must take every precaution to keep it confidential. The duty of confidentiality not only prohibits the disclosure of confidential information to others, but also prohibits the use of confidential information for unauthorized purposes.

Any attempts by any unauthorized person to obtain information or to enter restricted company premises should be reported to your supervisor as soon as possible, by whatever means possible. A follow-up in writing should also be initiated

7.1 Proprietary Information

Maintaining the security of proprietary information is vital to Maple Leaf. For example, if proprietary information of even a general nature is made available to a competitor, it may give them a market advantage over Maple Leaf. Or, if a competitor gains specific business or technical information it could permit them to avoid costly research expense and development time thereby giving them a strong competitive advantage over Maple

Leaf. It is your duty to maintain all confidentiality procedures to prevent any breaches of security.

7.2 Post Employment

Your obligation and legal responsibility to protect and not divulge Maple Leaf's proprietary and confidential information continues even after you leave Maple Leaf's employment, including solicitation of Maple Leaf employees.

7.3 Electronic Data

The increasing use of and dependence upon electronic technology (computer files, faxes, e-mail, Internet access) presents a challenge to security of information. You should exercise particular care to follow procedures and guidelines established for the secure use of these types of technology.

7.4 Inventions and Intellectual Property

All inventions, intellectual property, manufacturing process innovations, and management innovations arising from employment with Maple Leaf, which are made or conceived in the course of your employment, are naturally the property of Maple Leaf.

8. COMMUNICATION

Meeting our commitment to integrity and high ethical standards requires a clear communication of expectations and honest feedback on performance.

Maple Leaf will make every effort to ensure that you are informed of the policies, guidelines, rules, and procedures for which you are to be held accountable. You can expect your supervisors and managers to provide appropriate training and clarification.

Every Maple Leaf employee holds a position of trust and a part of this trust must be the obligation to report promptly, fairly and accurately any conduct or circumstance that may be contrary to this Code of Business Practice, relevant laws or regulations, or against the interests of Maple Leaf generally. Although you may find this difficult to do, it is a critical component of any code of ethical conduct. In the vast majority of cases, violations are only detected by other employees. As a result, failure to report breaches can be as serious as the misconduct itself.

To report a breach of policy you should contact one of the following:

- Your Human Resources Department
- Your supervisor
- Your department or function head
- The President of your Company
- Any member of the Ethics Committee

All information will be received in confidence.

The person receiving the report must create a record of its receipt and of the disposition of the situation to be forwarded to Human Resources.

Alternatively you may call the ***EthicsLine.*** This third party service provider will record your concern (confidentially if you wish) and pass it to the appropriate authority in Maple Leaf Foods for investigation.

No retaliatory action will be taken or permitted to be taken against you if you make a good faith report of a violation. (Retaliation is broadly defined to include conduct that intimidates, coerces, penalizes, or otherwise discriminates against a person because they have made or attempted to make a complaint or have participated in the investigation of a complaint).

ADDENDUM –
APPLICABLE TO DIRECTORS AND MEMBERS OF THE EXECUTIVE COUNCIL

1. The Board of Directors has adopted this Maple Leaf Foods Inc. Code of Business Practice (the "Code").
2. The provisions[1] of Code also apply to non-employee directors and to members of the Executive Council in full and as set out below:
    a. Requests for interpretations sought by a member of the Executive Council under Sect. 2 are to be made to the Ethics Committee. Requests for interpretations sought by the Chief Executive Officer ("CEO") or any director are to be made to the Corporate Governance Committee;
    b. Disclosures by directors and members of the Executive Council required under Sect. 3.3 regarding circumstances that create or may appear to create, a conflict of interest are to be made to the Corporate Governance Committee. If a member of the Executive Council is making the disclosure, a copy is to be sent to the Ethics Committee and the CEO;
    c. Outside employment and directorships held by non-employee directors are not prohibited by this Code. Any outside employment, directorship or volunteer activities by members of the Executive Council that violate Sect. 3.4 of the Code are to be reported to the CEO and the Corporate Governance Committee; and
    d. The Corporate Governance Committee must approve any waivers to the provisions of the Code for directors or members of the Executive Council.
3. The Ethics Committee, chaired by the CEO, shall make a periodic report to the Corporate Governance Committee on its activities.

[1] References in this Addendum Sections are to the main body of the Code of Business Practice